

Disclosure Statement Pursuant to the Pink Basic Disclosure Guidelines

FRMO CORP.

A Delaware Corporation

Principal Executive Offices and Principal Place of Business:
1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

914-632-6730
www.frmocorp.com
info@frmocorp.com
SIC Code: 6719 – Holding Company

Quarterly Report

For the period ended February 28, 2023 (the “Reporting Period”)

Outstanding Shares

The number of shares outstanding of our Common Stock was:

44,022,781 as of February 28, 2023 [Current Reporting Period],

44,017,781 as of May 31, 2022 [Most Recent Completed Fiscal Year End]

Shell Status

Indicate by check mark whether the company is a shell company (as defined in Rule 405 of the Securities Act of 1933, Rule 12b-2 of the Exchange Act of 1934 and Rule 15c2-11 of the Exchange Act of 1934):

Yes: ☐ No: ☒

Indicate by check mark whether the company's shell status has changed since the previous reporting period:

Yes: ☐ No: ☒

Change in Control

Indicate by check mark whether a Change in Control¹ of the company has occurred over this reporting period:

Yes: ☐ No: ☒

1) Name and address(es) of the issuer and its predecessors (if any)

¹ “Change in Control” shall mean any events resulting in:

- (i) Any “person” (as such term is used in Sections 13(d) and 14(d) of the Exchange Act) becoming the “beneficial owner” (as defined in Rule 13d-3 of the Exchange Act), directly or indirectly, of securities of the Company representing fifty percent (50%) or more of the total voting power represented by the Company's then outstanding voting securities;
- (ii) The consummation of the sale or disposition by the Company of all or substantially all of the Company's assets;
- (iii) A change in the composition of the Board occurring within a two (2)-year period, as a result of which fewer than a majority of the directors are directors immediately prior to such change; or
- (iv) The consummation of a merger or consolidation of the Company with any other corporation, other than a merger or consolidation which would result in the voting securities of the Company outstanding immediately prior thereto continuing to represent (either by remaining outstanding or by being converted into voting securities of the surviving entity or its parent) at least fifty percent (50%) of the total voting power represented by the voting securities of the Company or such surviving entity or its parent outstanding immediately after such merger or consolidation.

FRMO Corp.

FRMO Corp. is an active corporation incorporated in the state of Delaware in November 1993. The name of the Corporation was changed from FRM Nexus (a Delaware Corporation) to FRMO Corp. on November 29, 2000.

Describe any trading suspension orders issued by the SEC concerning the issuer or its predecessors since inception:

None

List any stock split, stock dividend, recapitalization, merger, acquisition, spin-off, or reorganization either currently anticipated or that occurred within the past 12 months:

None

The address(es) of the issuer's principal executive office:

1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

The address(es) of the issuer's principal place of business:

1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

☒ *Check if principal executive office and principal place of business are the same address:*

Has the issuer or any of its predecessors been in bankruptcy, receivership, or any similar proceeding in the past five years?

No: ☒ Yes: ☐ If Yes, provide additional details below:

2) Security Information

Transfer Agent

Name:
Broadridge Corporate Issuer Solutions, Inc.
1717 Arch Street, Suite 1300
Philadelphia, PA 19103

Phone: 800-733-1121
Email: Shareholder@Broadridge.com

Publicly Quoted or Traded Securities:

Trading symbol:	FRMO	
Exact title and class of securities outstanding:	Common Stock	
CUSIP:	30262F205	
Par or stated value:	\$0.001	
Total shares authorized:	90,000,000	as of date: February 28, 2023
Total shares outstanding:	44,022,781	as of date: February 28, 2023
Number of shares in the Public Float:	15,053,722	as of date: February 28, 2023
Total number of shareholders of record:	60	as of date: February 28, 2023

All additional class(es) of publicly quoted or traded securities (if any):

Trading symbol:	N/A	
Exact title and class of securities outstanding:	Preferred Stock	
CUSIP:	N/A	
Par or stated value:	\$0.001	
Total shares authorized:	2,000,000	as of date: February 28, 2023
Total shares outstanding:	None	as of date: February 28, 2023
Total number of shareholders of record:	None	as of date: February 28, 2023

Other classes of authorized or outstanding equity securities:

None

Describe any material modifications to rights of holders of the company's securities that have occurred over the reporting period covered by this report.

None

3) Issuance History

The goal of this section is to provide disclosure with respect to each event that resulted in any changes to the total shares outstanding of any class of the issuer's securities **in the past two completed fiscal years and any subsequent interim period**.

Disclosure under this item shall include, in chronological order, all offerings and issuances of securities, including debt convertible into equity securities, whether private or public, and all shares, or any other securities or options to acquire such securities, issued for services. Using the tabular format below, please describe these events.

A. Changes to the Number of Outstanding Shares

Indicate by check mark whether there were any changes to the number of outstanding shares within the past two completed fiscal years:

No: ☐ Yes: ☒ (If yes, you must complete the table below)

Shares Outstanding as of Second Most Recent Fiscal Year End: Opening Balance Date: May 31, 2020 Common: 44,032,781 Preferred: None									
Date of Transaction	Transaction type (e.g. new issuance, cancellation, shares returned to treasury)	Number of Shares Issued (or cancelled)	Class of Securities	Value of shares issued (\$/per share) at Issuance	Were the shares issued at a discount to market price at the time of issuance? (Yes/No)	Individual/ Entity Shares were issued to (entities must have individual with voting / investment control disclosed).	Reason for share issuance (e.g. for cash or debt conversion) OR Nature of Services Provided (if applicable)	Restricted or Unrestricted as of this filing?	Exemption or Registration Type?
October 8, 2020	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required

		of \$6.04 per share							pursuant to the exemption provided by Section 4(2) of the Act.
October 8, 2020	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$6.04 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 14, 2020	Shares repurchased, cancelled, and retired to authorized and unissued.	20,000	Common	Price paid was \$4.88 per share, per stock purchase agreement under existing stock repurchase program.	No	No issuance; shares were cancelled and retired to authorized and unissued	N/A	Restriction does not apply to shares repurchased by Company	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 7, 2021	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of \$10.85 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 7, 2021	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$10.85 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 7, 2021	Option Exercise	Option exercise of 5,000 shares of common stock at price of \$9.18 per share Grant date: 10/7/2014	Common	Value of Shares at issuance \$10.85 per share	Yes	Option Exercised by Allan Kornfeld	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
October 3, 2022	Option Exercise	Option exercise of 5,000 shares of common stock at price of \$7.98 per share Grant date: 10/8/15	Common	Value of Shares at issuance \$9.90 per share	Yes	Option Exercised by Allan Kornfeld	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
October 6, 2022	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of \$9.00 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 6, 2022	Option grant	Option grant to purchase 3,000 shares of common	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted	Registration of these Shares under the Securities

		stock, exercise price of \$9.00 per share						upon exercise.	Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 6, 2022	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$9.00 per share	Common	N/A	N/A	Option Granted to Alice C. Brennan	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 6, 2022	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$9.00 per share	Common	N/A	N/A	Option Granted to Hebert M. Chain	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 6, 2022	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$9.00 per share	Common	N/A	N/A	Option Granted to Dov Glickman	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
Shares Outstanding Ending Balance on Date of This Report: Date: February 28, 2023 Common: 44,022,781 Preferred: None									

B. Promissory and Convertible Notes

Indicate by check mark whether there are any outstanding promissory, convertible notes, convertible debentures, or any other debt instruments that may be converted into a class of the issuer's equity securities:

No: ☒ Yes: ☐ (If yes, you must complete the table below)

4) Issuer's Business, Products and Services

The purpose of this section is to provide a clear description of the issuer's current operations.
(Please ensure that these descriptions are updated on the Company's Profile on www.otcmarket.com).

A. Summarize the issuer's business operations (If the issuer does not have current operations, state "no operations")

The corporation is an intellectual capital firm identifying and managing investment strategies and business opportunities.

B. List any subsidiaries, parent company, or affiliated companies.

Fromex Equity Corp., a Delaware corporation, is a wholly owned subsidiary of FRMO Corp.

C. Describe the issuers' principal products or services.

The interim condensed consolidated financial statements include the accounts of FRMO and its controlled subsidiaries (collectively referred to as the "Company"). As of February 28, 2023 and May 31, 2022, the Company held a 21.81% and 21.88% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon Kinetics LLC ("Horizon") and certain officers, principal stockholders and directors of the Company. As of February 28, 2022, the Company held a 21.91% equity interest in HKHA. The Company also holds a 4.95% interest in Horizon and earns substantially all of its advisory fees from Horizon. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 78.19% and 78.09% in HKHA has been presented as noncontrolling interest in the accompanying condensed consolidated financial statements for the periods ended February 28, 2023 and 2022, and 78.19% and 78.12% as of February 28, 2023 and May 31, 2022. Total stockholders' equity includes, as a separate item, the amount attributable to the noncontrolling interests. The Company maintains its corporate office in White Plains, New York.

Investment Concentration

The following are the approximate amounts of the Company's investments in equity securities held directly and indirectly, through its various investments in managed funds, amounting to greater than 10% of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity as of February 28, 2023 and May 31, 2022.

Investment	As of February 28, 2023		As of May 31, 2022	
	Amount	Percent of	Amount	Percent of
		Equity		Equity
	(unaudited)			
Investment A	\$ 106,988,000	56.5%	\$ 92,563,000	51.0%
Investment B	\$ 11,835,000	6.3%	\$ 18,238,000	10.1%

5) Issuer's Facilities

Company leases fully furnished office space from Horizon Kinetics LLC at 1 North Lexington Avenue, Suite 12C, White Plains, New York 10601. The lease term is one year renewable for consecutive one-year periods until terminated.

Company owns two (2) warehouses, approximately 30,000 square feet each, situated on 3.56 acres of land located in North Carolina. The buildings are subject to a first mortgage with a principal balance of \$707,455 as of February 28, 2023.

6) Officers, Directors, and Control Persons

Name of Beneficial Owner	Shares Beneficially Owned or Controlled	Approximate Percentage of Shares outstanding
Murray Stahl	7,165,736	16.3%
John C. Meditz	7,139,851	16.2%
Steven Bregman	6,689,566	15.2%
Thomas C. Ewing	4,605,858	10.5%
Peter B. Doyle	4,226,140	9.6%
Lawrence J. Goldstein	1,861,774	4.3%
Santa Monica Partners, L.P.(1)	1,008,897	2.3%
Dov Glickman	4,420	*
Jay P. Hirschson	3,000	*
Herbert M. Chain	1,000	*
Alice C. Brennan	500	*
Directors and executive officers as a group	32,706,742	74.3%

* Less than 1%

(1) Controlled by Mr. Goldstein

7) Legal/Disciplinary History

A. Identify whether any of the persons or entities listed above have, in the past 10 years, been the subject of:

1. A conviction in a criminal proceeding or named as a defendant in a pending criminal proceeding (excluding traffic violations and other minor offenses);

None

2. The entry of an order, judgment, or decree, not subsequently reversed, suspended or vacated, by a court of competent jurisdiction that permanently or temporarily enjoined, barred, suspended or otherwise limited such person's involvement in any type of business, securities, commodities, or banking activities;

None

3. A finding or judgment by a court of competent jurisdiction (in a civil action), the Securities and Exchange Commission, the Commodity Futures Trading Commission, or a state securities regulator of a violation of federal or state securities or commodities law, which finding or judgment has not been reversed, suspended, or vacated; or

None

4. The entry of an order by a self-regulatory organization that permanently or temporarily barred, suspended, or otherwise limited such person's involvement in any type of business or securities activities.

None

B. Describe briefly any material pending legal proceedings, other than ordinary routine litigation incidental to the business, to which the issuer or any of its subsidiaries is a party or of which any of their property is the subject. Include the name of the court or agency in which the proceedings are pending, the date instituted, the principal parties thereto, a description of the factual basis alleged to underlie the proceeding and the relief sought. Include similar information as to any such proceedings known to be contemplated by governmental authorities.

None

8) Third Party Service Providers

Provide the name, address, telephone number and email address of each of the following outside providers. You may add additional space as needed.

Securities Counsel (must include Counsel preparing Attorney Letters).

Name: Morris Simkin
Firm: Law Office of Morris Simkin
Address 1: 5400 Broken Sound Blvd. NW, Apt. 431
Address 2: Boca Raton, FL 33487
Phone: (212) 455-0476
Email: msimkin@securitiesregslawyer.com

Accountant or Auditor

Name: John Basile, Engagement Partner
Firm: Baker Tilly US, LLP (formerly known as Baker Tilly Virchow Krause, LLP)
Address 1: One Penn Plaza, Suite 3000
Address 2: New York, NY 10119
Phone: (212) 697-6900
Email: John.Basile@bakertilly.com

Investor Relations

None

All other means of Investor Communication:

Twitter: N/A
Discord: N/A
LinkedIn: N/A
Facebook: N/A
[Other] N/A

Other Service Providers

Provide the name of any other service provider(s) that **that assisted, advised, prepared, or provided information with respect to this disclosure statement**. This includes counsel, broker-dealer(s), advisor(s), consultant(s) or any entity/individual that provided assistance or services to the issuer during the reporting period.

Name: N/A
Firm: N/A
Nature of Services: N/A
Address 1: N/A
Address 2: N/A
Phone: N/A
Email: N/A

9) Financial Statements

A. The following financial statements were prepared in accordance with:

- ☐ IFRS
☒ U.S. GAAP

B. The following financial statements were prepared by Victor Brodsky:

The financial statements listed in items 9a – 9f are appended to this Disclosure Statement.:

- a. Report of Independent Registered Public Accounting Firm
- b. Condensed Consolidated Balance Sheets
- c. Condensed Consolidated Statements of Income
- d. Condensed Consolidated Statements of Stockholders' Equity
- e. Condensed Consolidated Statements of Cash Flows
- f. Notes to Condensed Consolidated Financial Statements

C. The financial statements for this reporting period were prepared by (name of individual):

Name: Victor Brodsky

Title: Consultant

Relationship to Issuer: Consultant

Describe the qualifications of the person or persons who prepared the financial statements: CPA

10) Issuer Certification

I, Murray Stahl certify that:

1. I have reviewed this Disclosure Statement for FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations, and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

4/13/2023

/s/ Murray Stahl

Principal Financial Officer:

I, Steven Bregman certify that:

1. I have reviewed this Disclosure Statement for FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations, and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

4/13/2023

/s/ Steven Bregman

**FRMO CORPORATION
AND SUBSIDIARIES**

White Plains, New York

**INTERIM CONDENSED CONSOLIDATED FINANCIAL
STATEMENTS**

Including Report of Independent
Registered Public Accounting Firm

As of February 28, 2023 (Unaudited) and
May 31, 2022 and for the Three Months and Nine Months
Ended February 28, 2023 and 2022 (Unaudited)

**FRMO CORPORATION
AND SUBSIDIARIES**

TABLE OF CONTENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

Review Report of Independent Registered Public Accounting Firm	1
Interim Condensed Consolidated Financial Statements	
Condensed Consolidated Balance Sheets	2
Condensed Consolidated Statements of (Loss) Income	3
Condensed Consolidated Statements of Stockholders' Equity	4
Condensed Consolidated Statements of Cash Flows	5
Notes to Condensed Consolidated Financial Statements	6 - 16

Report of Independent Registered Public Accounting Firm

To the Board of Directors and Stockholders of
FRMO Corporation and Subsidiaries

Results of Review of Interim Financial Statements

We have reviewed the accompanying interim condensed consolidated balance sheet of FRMO Corporation and Subsidiaries (the Company) as of February 28, 2023, and the related condensed consolidated statements of (loss) income for the three month and nine month periods ended February 28, 2023 and 2022, the condensed consolidated statement of stockholders' equity and cash flows for the nine month periods ended February 28, 2023 and 2022 (collectively referred to as the "interim financial statements"). Based on our reviews, we are not aware of any material modifications that should be made to the accompanying interim financial statements for them to be in conformity with accounting principles generally accepted in the United States of America.

We have previously audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the consolidated balance sheet of the Company as of May 31, 2022, and the related consolidated statements of income, stockholders' equity and cash flows for the year then ended (not presented herein), and in our report dated August 12, 2022, we expressed an unqualified opinion on those consolidated financial statements. In our opinion, the information set forth in the accompanying condensed consolidated balance sheet as of May 31, 2022, is fairly stated, in all material respects, in relation to the consolidated balance sheet from which it has been derived.

Basis for Review Results

These interim financial statements are the responsibility of the Company's management. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the relevant ethical requirements relating to our audit, which include standards of the American Institute of Certified Public Accountants (AICPA) Code of Professional Conduct. We conducted our reviews in accordance with the standards of the PCAOB and in accordance with auditing standards generally accepted in the United States of America applicable to reviews of interim financial information. A review of interim financial information consists principally of applying analytical procedures and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with standards of the PCAOB or in accordance with auditing standards generally accepted in the United States of America, the objective of which is the expression of an opinion regarding the financial statements taken as a whole. Accordingly, we do not express such an opinion.



New York, New York
April 13, 2023

INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

**FRMO CORPORATION
AND SUBSIDIARIES**
CONDENSED CONSOLIDATED BALANCE SHEETS
As of February 28, 2023 and May 31, 2022

ASSETS		
	February 28, 2023 (Unaudited)	May 31, 2022
Current Assets		
Cash and cash equivalents	\$ 36,982,930	\$ 33,289,454
Accounts receivable (due from related parties)	2,553,607	2,182,217
Prepaid income taxes	-	732,553
Equity securities, at fair value (cost of \$77,632,505 and \$74,399,681 at February 28, 2023 and May 31, 2022, respectively)	212,869,816	187,386,224
Other current assets	167,440	167,357
Total Current Assets	252,573,793	223,757,805
Cryptocurrency mining assets, net of accumulated depreciation of \$977,980 and \$711,134 at February 28, 2023 and May 31, 2022, respectively	1,403,628	1,632,318
Investments in limited partnerships and other equity investments at fair value (cost of \$38,752,354 and \$37,790,957 at February 28, 2023 and May 31, 2022, respectively)	82,786,324	82,629,581
Investments in Securities Exchanges, at cost	4,815,025	4,815,025
Other investments, at cost	490,332	546,124
Investment in Horizon Kinetics LLC	15,647,802	14,701,779
Participation in Horizon Kinetics LLC Revenue Stream	10,200,000	10,200,000
Total Assets	<u>\$367,916,904</u>	<u>\$338,282,632</u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities		
Accounts payable and accrued expenses	\$ 195,755	\$ 181,535
Income taxes payable	165,013	-
Current portion of mortgage note payable	30,913	30,023
Securities sold, not yet purchased (proceeds of \$9,723,132 and \$8,554,778 at February 28, 2023 and May 31, 2022, respectively)	2,164,027	2,573,355
Total Current Liabilities	2,555,708	2,784,913
Deferred tax liability	21,755,691	20,470,439
Mortgage payable, net of current portion	676,542	699,840
Total Liabilities	<u>24,987,941</u>	<u>23,955,192</u>
Stockholders' Equity		
Stockholders' Equity Attributable to the Company	189,320,961	181,408,699
Noncontrolling interests	153,608,002	132,918,741
Total Stockholders' Equity	<u>342,928,963</u>	<u>314,327,440</u>
Total Liabilities and Stockholders' Equity	<u>\$367,916,904</u>	<u>\$338,282,632</u>

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES

CONDENSED CONSOLIDATED STATEMENTS OF (LOSS) INCOME

	Three Months Ended February 28,		Nine Months Ended February 28,	
	2023	2022	2023	2022
	(Unaudited)		(Unaudited)	
REVENUE				
Fees and other income	\$ 927,666	\$ 1,496,228	\$ 2,484,251	\$ 3,805,087
Dividends and interest income, net	830,048	413,402	4,208,234	1,205,794
Net realized losses from investments	(85,154)	(168,669)	(563,570)	(528,668)
Equity earnings from limited partnerships and limited liability companies	1,491,323	944,653	2,298,906	28,793
Unrealized losses from investments	(22,471,715)	(13,430,006)	(1,047,530)	(9,078,366)
Total revenue before unrealized (losses) gains from equity securities	(19,307,832)	(10,744,392)	7,380,291	(4,567,360)
Unrealized (losses) gains from equity securities	(90,424,162)	(5,019,006)	24,005,896	(27,197,005)
Total Revenue	(109,731,994)	(15,763,398)	31,386,187	(31,764,365)
OPERATING EXPENSES				
General and administrative expenses	249,884	339,524	1,227,026	898,876
Depreciation	71,505	91,708	266,847	231,680
Total Expenses	321,389	431,232	1,493,873	1,130,556
(Loss) Income from Operations before Provision for Income Taxes	(110,053,383)	(16,194,630)	29,892,314	(32,894,921)
(Benefit from) Provision for Income Taxes	(8,891,300)	(2,913,809)	2,852,220	(1,030,854)
Net (Loss) Income	(101,162,083)	(13,280,821)	27,040,094	(31,864,067)
Less net (loss) income attributable to noncontrolling interests	(66,261,061)	(1,272,507)	19,593,269	(20,466,147)
Net (loss) income attributable to the Company	<u>\$ (34,901,022)</u>	<u>\$ (12,008,314)</u>	<u>\$ 7,446,825</u>	<u>\$ (11,397,920)</u>
NET (LOSS) INCOME PER COMMON SHARE				
Basic and diluted	<u>\$ (0.79)</u>	<u>\$ (0.27)</u>	<u>\$ 0.17</u>	<u>\$ (0.26)</u>
WEIGHTED AVERAGE COMMON SHARES OUTSTANDING				
Basic	<u>44,022,781</u>	<u>44,017,781</u>	<u>44,020,492</u>	<u>44,015,418</u>
Diluted	<u>44,022,781</u>	<u>44,017,781</u>	<u>44,032,153</u>	<u>44,015,418</u>

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

**FRMO CORPORATION
AND SUBSIDIARIES**

CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
For the Nine Months Ended February 28, 2023 and 2022 (Unaudited)

	Stockholders' Equity							
	Common Stock		Additional Paid-In Capital	Retained Earnings	Attributable to the Company	Non-Controlling Interests	Total Stockholders' Equity	
	Shares	Amount						
BALANCE - June 1, 2021	44,012,781	\$ 44,012	\$ 40,718,916	\$ 137,141,976	177,904,904	\$ 121,008,871	\$ 298,913,775	
Equity Compensation	-	-	44,240	-	44,240	-	44,240	
Exercise of Stock Options	5,000	5	45,895	-	45,900	-	45,900	
Non-cash Compensation	-	-	77,400	-	77,400	-	77,400	
Capital Accounts of Consolidated Limited Liability Company	-	-	297,974	-	297,974	-	297,974	
Net loss	-	-	-	(11,397,920)	(11,397,920)	(20,466,147)	(31,864,067)	
Capital contributed to consolidated subsidiary from noncontrolling interests	-	-	-	-	-	1,287,166	1,287,166	
BALANCE - February 28, 2022	44,017,781	\$ 44,017	\$ 41,184,425	\$ 125,744,056	\$ 166,972,498	\$ 101,829,890	\$ 268,802,388	
	Common Stock		Additional Paid-In Capital	Retained Earnings	Attributable to the Company	Non-Controlling Interests	Total Stockholders' Equity	
	Shares	Amount						
BALANCE - June 1, 2022	44,017,781	\$ 44,017	\$ 41,276,829	\$ 140,087,853	181,408,699	\$ 132,918,741	\$ 314,327,440	
Equity Compensation	-	-	84,320	-	84,320	-	84,320	
Exercise of Stock Options	5,000	5	39,895	-	39,900	-	39,900	
Non-cash Compensation	-	-	77,400	-	77,400	-	77,400	
Capital Accounts of Consolidated Limited Liability Company	-	-	263,817	-	263,817	-	263,817	
Net income	-	-	-	7,446,825	7,446,825	19,593,269	27,040,094	
Capital contributed to consolidated subsidiary from noncontrolling interests	-	-	-	-	-	1,095,992	1,095,992	
BALANCE - February 28, 2023	44,022,781	\$ 44,022	\$ 41,742,261	\$ 147,534,678	\$ 189,320,961	\$ 153,608,002	\$ 342,928,963	

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

FRMO CORPORATION
AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
For the Nine Months Ended February 28, 2023 and 2022

	February 28,	
	2023	2022
	(Unaudited)	
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income (loss)	\$ 27,040,094	\$ (31,864,067)
Adjustments to reconcile net income (loss) to net cash flows from operating activities		
Non-cash compensation	77,400	77,400
Equity compensation	84,320	44,240
Net realized losses from investments	563,570	528,668
Equity earnings from limited partnerships and limited liability companies	(2,298,906)	(28,793)
Unrealized gains from investments subject to fair value valuation	1,047,530	9,078,366
Unrealized (gains) losses from equity securities	(24,005,896)	27,197,005
Non-cash fee revenue	(304,777)	(1,314,044)
Depreciation	266,847	231,680
Deferred income tax (benefit)	1,285,252	(3,221,154)
Changes in operating assets and liabilities:		
Accounts receivable	(371,390)	368,786
Prepaid income taxes and other current assets	732,470	-
Accounts payable and accrued expenses	14,221	47,274
Income taxes payable	165,013	(109,658)
Net Cash Flows from Operating Activities	<u>4,295,748</u>	<u>1,035,703</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sale of investments	879,444	2,850,078
Purchases of investments	(1,722,832)	(790,571)
Proceeds from securities sold, not yet purchased	1,571,610	265,904
Purchases to cover securities previously sold	(709,781)	(3,383,513)
Distributions from limited partnerships	170,518	38,633
Other investments	(35,566)	(289,880)
Purchase of cryptocurrency mining assets	(38,157)	(742,849)
Net Cash Flows from (used) in Investing Activities	<u>115,236</u>	<u>(2,052,198)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from issuance of other consolidated subsidiary equity	45,000	45,000
Distributions to members of consolidated limited liability company	(780,000)	(270,000)
Proceeds from exercise of stock options	39,900	45,900
Other financing activities	(22,408)	(21,551)
Net Cash Flows used in Financing Activities	<u>(717,508)</u>	<u>(200,651)</u>
Net Change in Cash and Cash Equivalents	3,693,476	(1,217,146)
CASH AND CASH EQUIVALENTS, Beginning of Period	33,289,454	34,971,075
CASH AND CASH EQUIVALENTS, END OF PERIOD	<u><u>\$ 36,982,930</u></u>	<u><u>\$ 33,753,929</u></u>
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the period for		
Income taxes	\$ 644,906	\$ 2,299,862
Interest	<u>\$ 116,235</u>	<u>\$ 92,983</u>
NONCASH INVESTING ACTIVITIES		
Investment acquired through the contribution of other investments	<u><u>\$ 1,924,293</u></u>	<u><u>\$ 1,750,825</u></u>

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 1 - Nature of Business and Basis of Presentation

The interim condensed consolidated financial statements include the accounts of FRMO and its controlled subsidiaries (collectively referred to as the "Company"). As of February 28, 2023 and May 31, 2022, the Company held a 21.81% and 21.88% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon Kinetics LLC ("Horizon") and certain officers, principal stockholders and directors of the Company. As of February 28, 2022, the Company held a 21.91% equity interest in HKHA. The Company also holds a 4.95% interest in Horizon and earns substantially all of its advisory fees from Horizon. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 78.19% and 78.09% in HKHA has been presented as noncontrolling interest in the accompanying condensed consolidated financial statements for the periods ended February 28, 2023 and 2022, and 78.19% and 78.12% as of February 28, 2023 and May 31, 2022. Total stockholders' equity includes, as a separate item, the amount attributable to the noncontrolling interests. The Company maintains its corporate office in White Plains, New York.

The accompanying interim unaudited condensed consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States ("GAAP") for interim financial information. The principles for interim condensed financial information do not require the inclusion of all the information and footnotes required by generally accepted accounting principles for complete financial statements. Therefore, these interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements as of and for the year ended May 31, 2022 and notes thereto. The accompanying interim condensed consolidated financial statements have not been audited by an independent registered public accounting firm in accordance with standards of the Public Company Accounting Oversight Board (United States) but, in the opinion of management, such financial statements include all adjustments, consisting only of normal recurring adjustments, necessary for a fair statement of the Company's interim financial position and results of operations. The results of operations for the three months and nine months ended February 28, 2023 may not be indicative of the results that may be expected for the year ending May 31, 2023.

NOTE 2 - Summary of Significant Accounting Policies

Subsequent Events

The Company has evaluated all subsequent events from the date of the interim condensed consolidated balance sheets through April 13, 2023, which represents the date these interim condensed consolidated financial statements are available to be issued.

NOTE 3 - Adoption of New Accounting Pronouncements

The Company has determined that no recently issued accounting pronouncements will have a material impact on its interim condensed consolidated financial position, results of operations and cash flows, or do not apply to its operations.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 4 - Investments

Limited Partnerships and Equity Investments

The Company's investments in limited partnerships and equity investments consist of the following as of February 28, 2023 and May 31, 2022:

	As of February 28, 2023 (Unaudited)		
	Cost or (Proceeds)	Net Unrealized Gains	Estimated Fair Value
Equity Securities	<u>\$ 77,632,505</u>	<u>\$135,237,311</u>	<u>\$ 212,869,816</u>
Investments in limited partnerships and other equity investments:			
Limited partnerships			
Investment in South LaSalle Partners, LP	<u>\$ 5,552,308</u>	<u>\$ 3,015,896</u>	<u>\$ 8,568,204</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	15,154,233	14,225,787	29,380,020
CDK Partners, LP	1,374,839	3,641,797	5,016,636
Polestar Fund, LP	14,517,276	21,386,155	35,903,431
Multi-Disciplinary Fund, LP	590,180	172,721	762,901
Kinetics Institutional Partners, LP	7,920	19,888	27,808
Shepherd I, LP	15,050	8,758	23,808
Other	<u>1,989</u>	<u>231,767</u>	<u>233,756</u>
Total Investments in Managed Funds	<u>31,661,487</u>	<u>39,686,873</u>	<u>71,348,360</u>
Investment in Winland Holdings Corporation, 1,434,880 shares	<u>1,538,559</u>	<u>1,331,201</u>	<u>2,869,760</u>
Total investments in limited partnerships and other equity securities	<u>\$ 38,752,354</u>	<u>\$ 44,033,970</u>	<u>\$ 82,786,324</u>
Securities sold, not yet purchased (liability)	<u>\$ (9,723,132)</u>	<u>\$ 7,559,105</u>	<u>\$ (2,164,027)</u>

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 4 - Investments (cont.)

	As of May 31, 2022		
	Cost or (Proceeds)	Net Unrealized Gains	Estimated Fair Value
Equity Securities	<u>\$ 74,399,681</u>	<u>\$112,986,543</u>	<u>\$187,386,224</u>
Investments in limited partnerships and other equity investments:			
Limited partnerships			
Investment in South LaSalle Partners, LP	<u>\$ 5,561,379</u>	<u>\$ 3,231,739</u>	<u>\$ 8,793,118</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	14,768,374	15,061,473	29,829,847
CDK Partners, LP	1,347,099	3,724,889	5,071,988
Polestar Fund, LP	14,042,007	19,909,532	33,951,539
Multi-Disciplinary Fund, LP	548,242	214,389	762,631
Kinetics Institutional Partners, LP	7,201	19,331	26,532
Shepherd I, LP	13,623	11,699	25,322
Other	<u>39</u>	<u>54,835</u>	<u>54,874</u>
Total Investments in Managed Funds	<u>30,726,585</u>	<u>38,996,148</u>	<u>69,722,733</u>
Investment in Winland Holdings Corporation, 1,418,528 shares	<u>1,502,993</u>	<u>2,610,737</u>	<u>4,113,730</u>
Total investments in limited partnerships and other equity securities	<u>\$ 37,790,957</u>	<u>\$ 44,838,624</u>	<u>\$ 82,629,581</u>
Securities sold, not yet purchased (liability)	<u>\$ (8,548,222)</u>	<u>\$ 5,974,867</u>	<u>\$ (2,573,355)</u>

Investments in Unconsolidated Entities

Investment in Securities Exchanges

Investments in securities exchanges are carried at cost and consist of the following as of February 28, 2023 (unaudited) and May 31, 2022:

Miami International Holdings, Inc.	\$ 4,322,905
CNSX Markets, Inc.	243,040
American Financial Exchange, LLC	249,080
Total securities exchanges	<u>\$ 4,815,025</u>

The Company holds a less than a 2.00% interest in these stock exchanges.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 4 - Investments (cont.)

Other Investments

The following are the Company's other investments as of February 28, 2023 and May 31, 2022:

	February 28, 2023 (Unaudited)	May 31, 2022
Cryptocurrency Mining Entities		
Consensus Mining and Seigniorage Corporation	\$ 399,092	\$ 454,884
HM Tech, LLC	14,979	14,979
Total cryptocurrency mining entities	414,071	469,863
Digital Currency Group, Inc.	76,261	76,261
Total other investments	<u>\$ 490,332</u>	<u>\$ 546,124</u>

The Company holds a 7.434% interest in HM Tech, LLC and is accounted for under the equity method of accounting. The Company holds a less than a 1.00% interest in each of the other investments, which are carried at cost.

Investment Concentration

The following are the approximate amounts of the Company's investments in equity securities held directly and indirectly, through its various investments in managed funds, amounting to greater than 10% of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity as of February 28, 2023 and May 31, 2022.

Investment	As of February 28, 2023		As of May 31, 2022	
	Amount	Percent of Equity (unaudited)	Amount	Percent of Equity
Investment A	\$ 106,988,000	56.5%	\$ 92,563,000	51.0%
Investment B	\$ 11,835,000	6.3%	\$ 18,238,000	10.1%

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 5 - Fair Value Measurements

The following tables present information about the Company's assets and liabilities that are measured at fair value on a recurring basis as of February 28, 2023 and May 31, 2022, and indicates the fair value hierarchy of the valuation techniques the Company utilized to determine such fair values.

		As of February 28, 2023 (Unaudited)			
		Fair Value Measurements at Reporting Date Using			
		Quoted Prices			
		Investments Measured at Net Asset Value	in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Total					
Assets (at fair value):					
Money Market Mutual Funds included in Cash and Cash Equivalents					
	\$ 35,805,372	\$ -	\$ 35,805,372	\$ -	\$ -
Other Investments:					
Equity Securities					
	\$ 212,869,816	\$ -	\$ 212,869,816	\$ -	\$ -
Investment in Limited Partnerships and other Equity Investments					
	82,786,324	79,916,564	-	2,869,760	-
Total Other Investments	\$ 295,656,140	\$ 79,916,564	\$ 212,869,816	\$ 2,869,760	\$ -
Liabilities (at fair value):					
Common Stocks					
	\$ 2,164,027	\$ -	\$ 2,164,027	\$ -	\$ -

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 5 - Fair Value Measurements (cont.)

		As of May 31, 2022				
		Fair Value Measurements at Reporting Date Using				
		Quoted Prices				
		Investments	in Active	Significant		
		Measured	Markets	Other	Significant	
		at	for Identical	Observable	Unobservable	
		Net Asset	Assets	Inputs	Inputs	
		Value	(Level 1)	(Level 2)	(Level 3)	
Assets (at fair value):						
Money Market Mutual Funds						
included in Cash						
and Cash Equivalents						
	\$ 32,697,079	\$ -	\$ 32,697,079	\$ -	\$ -	
Other Investments:						
Equity Securities	\$ 187,386,224	\$ -	\$ 187,386,224	\$ -	\$ -	
Investment in Limited						
Partnerships and other						
Equity Investments	82,629,581	78,515,851	-	4,113,730	-	
Total Other Investments	\$ 270,015,805	\$ 78,515,851	\$ 187,386,224	\$ 4,113,730	\$ -	
Liabilities (at fair value):						
Common Stocks	\$ 2,573,355	\$ -	\$ 2,573,355	\$ -	\$ -	

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 6 - Income Taxes

The Company files a consolidated federal income tax return and a combined state/city tax return with its wholly-owned subsidiary, Fromex Equities Corp. HKHA, included in consolidated net income (loss) before taxes, is a pass-through entity subject to K-1 reporting and is not included in the Company's consolidated income tax return. Pass-through income allocated to the Company is based on the Company's ownership percentage as of February 28, 2023 and May 31, 2022, which was 21.81% and 21.88% respectively. Income tax attributable to the remaining noncontrolling interest of 78.19% and 78.12% represents a permanent difference related to "consolidation of noncontrolling interests" in the reconciliation table below of federal statutory rate to effective tax rate.

The Company records adjustments related to prior years' taxes during the period when they are identified, generally when the tax returns are filed. The effect of these adjustments on the current and prior periods (during which the differences originated) is evaluated based upon quantitative and qualitative factors and are considered in relation to the interim condensed consolidated financial statements taken as a whole for the respective periods.

The provision for income taxes is comprised of the following:

	Three Months Ended February 28,		Nine Months Ended February 28,	
	2023	2022	2023	2022
	(Unaudited)		(Unaudited)	
Current				
Federal	\$ 447,147	\$ 342,005	\$ 809,024	\$ 1,190,152
State and City	362,561	292,680	757,944	1,000,148
Total Current	<u>809,708</u>	<u>634,685</u>	<u>1,566,968</u>	<u>2,190,300</u>
Deferred				
Federal	(9,701,008)	(3,548,494)	1,285,252	(3,221,154)
State and City	-	-	-	-
Total Deferred	<u>(9,701,008)</u>	<u>(3,548,494)</u>	<u>1,285,252</u>	<u>(3,221,154)</u>
Total Provision for Income Taxes	<u>\$ (8,891,300)</u>	<u>\$ (2,913,809)</u>	<u>\$ 2,852,220</u>	<u>\$ (1,030,854)</u>

The current year provision for income taxes include estimated amounts for income and loss items derived from pass through entities. The actual amounts are determined upon completion of the Company's tax return and may differ from the amounts presented above due to the variable nature of these items.

Deferred tax assets and liabilities are determined using the enacted tax rates applicable to the period the temporary differences are expected to be recovered. The net deferred income taxes on the balance sheets reflect temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and income tax purposes, tax effected at a various rates depending on whether the temporary differences are subject to federal taxes, state and city taxes, or both.

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 6 - Income Taxes (cont.)

The tax effects of temporary differences which give rise to the deferred tax liability consist of the following as of February 28, 2023 and May 31, 2022:

	February 28, 2023 (Unaudited)	May 31, 2022
Deferred Tax Liability		
Investments in limited partnerships	\$ 3,820	\$ 420
Investment in unconsolidated limited liability companies	132,660	132,660
Deferral of gain from like-kind exchange	3,339,319	3,339,319
Unrealized gain from equity securities and investments in managed funds	<u>18,279,892</u>	<u>16,998,040</u>
Total Deferred Tax Liability	<u>\$ 21,755,691</u>	<u>\$ 20,470,439</u>

A reconciliation of the federal statutory rate to the effective tax rate is as follows for the three months and nine months ended February 28, 2023 and 2022:

	Three Months Ended February 28,				Nine Months Ended February 28,			
	2023		2022		2023		2022	
	(Unaudited)		(Unaudited)		(Unaudited)		(Unaudited)	
Income (loss) before taxes	<u>\$ (110,053,383)</u>	100.0%	<u>\$ (16,194,630)</u>	100.0%	<u>\$ 29,892,314</u>	100.0%	<u>\$ (32,894,921)</u>	100.0%
Computed expected tax expense	\$ (23,111,210)	21.0%	\$ (3,400,872)	21.0%	\$ 6,277,386	21.0%	\$ (6,907,933)	21.0%
State and City taxes, net of federal benefit	281,791	-0.3%	231,217	-1.4%	594,144	2.0%	790,117	-2.4%
Permanent differences	(753)	0.0%	(19,698)	0.1%	32,016	0.1%	741,358	-2.3%
Other	<u>234</u>	0.0%	<u>4</u>	0.0%	<u>441</u>	0.0%	<u>68</u>	0.0%
Provision for (benefit from) income taxes before condolidation of noncontrolling interests	(22,829,938)	20.7%	(3,189,349)	19.7%	6,903,987	23.1%	(5,376,390)	16.4%
Permanent differences related to consolidation of non controlling interests	<u>13,938,638</u>	-12.7%	<u>275,540</u>	-1.7%	<u>(4,051,767)</u>	-13.6%	<u>4,345,536</u>	-13.2%
Total provision for income taxes	<u>\$ (8,891,300)</u>	8.1%	<u>\$ (2,913,809)</u>	18.0%	<u>\$ 2,852,220</u>	9.6%	<u>\$ (1,030,854)</u>	3.1%

(Percent components may not sum due to rounding)

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 7 – Mortgage Payable

On November 8, 2019, the Company acquired a building located in North Carolina to be used in certain business operations for \$1,050,000. The building was purchased subject to an \$800,000 mortgage with a 3.9% interest rate with a maturity date of November 6, 2024. A balloon payment of \$655,255 is due at maturity. The mortgage is also collateralized by an assignment of all rents received from the building. The building is rented to a related party, subject to a lease that calls for \$11,450 per month in rent through November 2024.

The following table presents contractual payments of the Company's obligation under this mortgage as of February 28, 2023:

For the Period Ending May 31,	Total
	(Unaudited)
2023 (Remainder of fiscal year)	\$ 7,615
2024	31,215
2025	668,625
Total	<u>\$ 707,455</u>

NOTE 8 - Net Income Per Common Share and Per Common Share Equivalent

Basic and diluted earnings per common share is calculated by dividing net income allocated to common stock by the weighted average common shares outstanding during the period. The weighted average number of shares of common stock used in the calculation of diluted earnings per share is adjusted for the dilutive effects of potential common shares including the assumed exercise of vested stock options based on the treasury stock method. Assumed exercise or conversion of potential common shares is only when the weighted average market price for the period exceeds the exercise price and the conversion price, and that the entity records earnings from continuing operations, as the inclusion of such adjustments would otherwise be anti-dilutive to earnings per share from continuing operations.

Potential common shares consist of unexercised stock options of 65,000 and 56,000 for the nine months ended February 28, 2023 and 2022, respectively.

As of February 28, 2023 and May 31, 2022 there were 65,000 and 56,000 vested options with an exercise price below the weighted average market price of the Company's common stock during the period.

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 8 - Net Income Per Common Share and Per Common Share Equivalent (cont.)

The reconciliation of the weighted average number of common shares used in the calculation of basic and diluted earnings per common share follows for the three months and nine months ended February 28:

	Three Months Ended February 28,		Nine Months Ended February 28,	
	2023	2022	2023	2022
	(Unaudited)		(Unaudited)	
Weighted Average Common Shares Outstanding	44,022,781	44,017,781	44,020,492	44,015,418
Effect of Dilutive Securities, common share equivalents:				
Exercise of stock options	-	-	11,661	-
Dilutive Potential Common Share Equivalents	<u>44,022,781</u>	<u>44,017,781</u>	<u>44,032,153</u>	<u>44,015,418</u>

NOTE 9 - Stockholders' Equity

Redeemable Preferred Stock

The number of authorized Series R preferred shares is 5,000 with a par value of \$.001 per share. These shares are each convertible to 1,000 shares of the Company's common stock at the option of either the Company or the holder. There were no shares of preferred stock outstanding as of February 28, 2023 and May 31, 2022.

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of February 28, 2023 (Unaudited) and May 31, 2022 and for the
Three Months and Nine Months Ended February 28, 2023 and 2022 (Unaudited)

NOTE 9 - Stockholders' Equity (cont.)

Stock Options

A summary of option activity as of February 28, 2023, and changes during the nine months then ended, is as follows:

<i>Stock Options</i> (Unaudited)	Number of Shares	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term	Aggregate Intrinsic Value
Outstanding at June 1, 2022	56,000	\$ 7.10	3.36	\$ 145,440
Granted	17,000	\$ 9.00	6.61	\$ -
Exercised	(5,000)	\$ 7.98	-	\$ -
Forfeited	<u>(3,000)</u>	<u>\$ 7.98</u>	<u>-</u>	<u>\$ -</u>
Outstanding at February 28, 2023	<u>65,000</u>	<u>\$ 7.48</u>	<u>4.02</u>	<u>\$ 73,280</u>
Vested and Exercisable at February 28, 2023	<u>65,000</u>	<u>\$ 7.48</u>	<u>4.02</u>	<u>\$ 73,280</u>

All stock options were vested as of February 28, 2023 and May 31, 2022.

The aggregate intrinsic value of options outstanding and options exercisable at February 28, 2023 and May 31, 2022 is calculated as the difference between the exercise price of the underlying options and the market price of FRMO's common stock for the shares that had exercise prices that were lower than the \$8.00 and \$9.50 closing price of FRMO's common stock on February 28, 2023 and May 31, 2022, respectively.

As of February 28, 2023, there was no unrecognized compensation cost related to unvested options.